WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ALGERIA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Algiers	Capital and seat of government; home to the AAPI single window for major projects and foreign investment, and host of the annual Algiers International Fair	Administration, financial services, construction, trade
Saharan hydrocarbon basins (Berkine, Ahnet, Gourara, Reggane)	Core of Africa's largest natural gas production; recent licensing awards to TotalEnergies-QatarEnergy, Eni-PTTEP and Sinopec could unlock around 20 billion cubic metres a year of new gas	Upstream oil and gas, oilfield services, gas processing
Gara Djebilet – Tindouf – Béchar (south-west)	Over 3.5 billion tonnes of iron ore, now linked north by a 950 km mining railway opened in February 2026, with output targeted to rise from 4 to 12 million tonnes a year by 2030	Iron ore mining, ore processing, rail logistics
Oran and the north-west coast	Destination for Gara Djebilet ore and home to Tosyali's large steel hub, anchoring Algeria's ambition to become a leading African steel producer	Steel, manufacturing, port logistics
Tébessa – Annaba (east)	Bled El Hadba phosphate deposit, to be connected to Annaba port by a 422 km eastern mining railway under development	Phosphates, fertilisers, port and rail logistics
Mediterranean gas corridors (Medgaz and Transmed)	Pipelines to Spain and, via Tunisia, to Italy that make Algeria Europe's second-largest pipeline gas supplier after Norway	Gas transit, LNG, energy trading
High Plateaux and the South	Location-based tax incentives and the first 3.2 GW tranche of the national solar and wind programme, plus three transport corridors toward sub-Saharan Africa	Renewable energy, agriculture, logistics

INVESTOR ENTRY ROUTES

- Algerian Investment Promotion Agency (AAPI), established in November 2022, with a single window for major projects and foreign investment and decentralised one-stop shops for registration and incentives
- Investment Law 22-18 of 24 July 2022, allowing up to 100% foreign ownership outside strategic sectors and guaranteeing transfer of capital and income where foreign-currency contributions (at least 25% of project cost) are registered with the Bank of Algeria

- Strategic-sector framework: a 51/49 local-majority rule continues to apply in energy, mining, defence, transport infrastructure, pharmaceuticals and imports for resale, with prior authorisation required for share transfers under Executive Decree 25-304
- Hydrocarbons law (2019) and ALNAFT licensing rounds, with the 2024 bid round awarding five of six blocks in June 2025 and further gas-focused rounds offered alongside partnership agreements with Sonatrach
- Bank of Algeria foreign-exchange regime: the dinar is not freely convertible and transfers follow central bank regulation, with a 15% final withholding tax on dividends to non-residents
- Location and export incentives, including multi-year tax exemptions for projects in the High Plateaux and South and for export-oriented investment
- International protection through the New York and ICSID Conventions, 29 bilateral investment treaties in force and, for EU investors, the EU–Algeria Association Agreement

MARKET-ENTRY OBSERVATION

Algeria in October 2026 is Africa's leading gas producer and a steadily growing, increasingly open market of around 47 million people. Real GDP grew 3.9% in 2025, with the non-hydrocarbon economy expanding 4.0%, and the IMF projects 3.8% growth in 2026 as hydrocarbon output recovers. Foreign direct investment rose to about $1.5 billion in 2025, and the AAPI has registered more than 21,000 investment projects since November 2022, including 353 involving foreign capital. Reform momentum is visible: Investment Law 22-18 opened most sectors to full foreign ownership, Algeria exited the FATF grey list in June 2026 after completing its action plan in under 20 months, the Bank of Algeria cut its policy rate to 2.5% in January 2026 to support lending, and the 950 km Gara Djebilet mining railway opened in February 2026 as a flagship of diversification into iron ore, steel and phosphates.

Algeria's main structural challenge is its reliance on hydrocarbons, which provide around 95% of exports and much of public revenue. The overall budget deficit narrowed from 14.0% of GDP in 2024 to 10.5% in 2025, and gross government debt stood at 52.1% of GDP, while the IMF recommends gradual consolidation, more exchange-rate flexibility and a level playing field for private firms. The country's buffers are substantial: external debt is only around 3% of GDP, mostly IMF SDR allocations, and official reserves of $51 billion covered 8.6 months of imports in 2025. Diversification is creating new entry points, from mining and steel value chains to a 15 GW renewable energy target for 2035 and upstream gas awards that could add around 20 billion cubic metres a year of production, all supported by Algeria's established role as Europe's second-largest pipeline gas supplier.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Hydrocarbon dependence and fiscal position	Hydrocarbons make up around 95% of exports, and the budget deficit was 10.5% of GDP in 2025, so public spending and payment timelines track energy prices	Low external debt and $51 billion of reserves provide cover; diversification into mining, steel and renewables offers growing non-hydrocarbon opportunities
Foreign-exchange regime	The dinar is not freely convertible, a parallel market trades at a significant discount, and repatriation depends on registering foreign-currency contributions with the Bank of Algeria	Register capital correctly at entry under Law 22-18 to secure transfer guarantees; the IMF is encouraging greater exchange-rate flexibility and a deeper formal FX market
Ownership rules in strategic sectors	The 51/49 local-majority rule applies in energy, mining, defence, transport infrastructure, pharmaceuticals and imports for resale	Structure partnerships with experienced public or private Algerian partners; full foreign ownership is available in non-strategic sectors
Import licensing and trade measures	Licensing and import-substitution policies limit some imports, and the EU opened arbitration under the Association Agreement in July 2025	Local production is favoured, making in-country manufacturing and assembly the stronger route and opening opportunities in import substitution
Administrative procedures and regulatory change	Procedures can be slow and rules change frequently, although the AAPI single window has simplified registration	Use the AAPI single window, retain experienced local counsel and build regulatory monitoring into project timelines
Banking sector and state-owned enterprise links	Public banks dominate, with non-performing loans above 20% of total loans	Lending capacity is improving after policy-rate and reserve-requirement cuts;

Issue	Potential Impact	Possible Mitigation
	and close links to state companies	consider international or blended financing for larger projects
Anti-money-laundering compliance legacy	Algeria left the FATF grey list in June 2026, but the European Commission had added it to its high-risk list in June 2025	Confirm current EU list status with banks; new beneficial-ownership and AML rules support smoother correspondent banking

INVESTOR RISK NOTE

Algeria's risk profile reflects a large, energy-rich economy with low external debt, solid reserves and a clear policy commitment to opening up to private and foreign investment. Investment Law 22-18, the AAPI single window, exit from the FATF grey list in June 2026 and the start of operations on the Gara Djebilet railway show reforms moving from legislation into delivery. The main considerations are the economy's reliance on hydrocarbon revenues, a large fiscal deficit, the non-convertible dinar and strategic-sector ownership limits, alongside periodic trade frictions with the EU and strained relations with France. These are well understood and manageable with careful structuring: correct registration of foreign capital, local partnerships where required, and financial planning that allows for energy-price movements. Investors who engage early with the AAPI and with state partners such as Sonatrach can benefit from Algeria's scale, resource base and growing non-hydrocarbon demand.

MARKET ACCESS

Algeria's trade with Europe is governed by the EU–Algeria Association Agreement, in force since 2005, and the EU remains its main market, taking more than €40 billion a year of mostly mineral products. Algeria is Europe's second-largest pipeline gas supplier after Norway through the Medgaz pipeline to Spain and the Transmed pipeline to Italy via Tunisia, and exported 9.4 million tonnes of LNG in 2024, 87% of it to Europe; France and Turkey are its largest gas customers. Algeria is not a WTO member and applies import licensing, which favours investors who produce locally. Southward, three transport corridors link Algeria to sub-Saharan Africa, and new mining railways to the north-west and to Annaba port are strengthening export routes for steel and phosphates, giving Algeria a growing role as a Mediterranean–Africa gateway.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic (Abdelmadjid Tebboune)	Re-elected in 2024 with a mandate to 2029; drives diversification, investment-law reform and flagship projects such as Gara Djebilet	Primary reference point for Algeria's strategic and economic direction
Algerian Investment Promotion Agency (AAPI)	National investment agency operating the single window for major projects and foreign investment	Standard first point of contact for registration, incentives and project follow-up
Bank of Algeria	Central bank setting monetary policy and managing the foreign-exchange regime, capital registration and transfers	Essential for repatriation guarantees and banking-sector matters
Sonatrach (national oil and gas company)	Dominant state energy company and partner of choice for upstream, gas and petrochemical investment	Central counterpart for any hydrocarbon-sector engagement
ALNAFT (National Agency for the Valorisation of Hydrocarbon Resources)	Hydrocarbons licensing authority running bid rounds under the 2019 hydrocarbons law	Key contact for upstream licensing opportunities
Feraal Group	State company managing the Gara Djebilet iron ore project and its expansion	Relevant for mining, processing and steel value-chain partnerships
Office of the Prime Minister	Coordinates government economic policy and inter-ministerial delivery of investment reforms	Relevant for understanding policy implementation and sector priorities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The AAPI runs bilateral business forums with partner countries, such as the Algerian-Turkish Business Forum in Ankara in 2026, and works with the EU Delegation in Algeria to encourage European investment. The Algiers International Fair, held each June, combines trade exhibition with national investment conferences, and Algiers hosted a major African trade exhibition in September 2025 at which the AAPI signed agreements worth more than $11.4 billion with partners from 31 countries. Bilateral chambers of commerce and national business associations provide practical market intelligence, and international energy companies with long-standing Sonatrach partnerships, including Eni, TotalEnergies and Equinor, are a useful source of insight into operating conditions.

INVESTOR PROFILE BEST SUITED

Algeria best suits investors with a long-term horizon and the capacity to work with state partners: energy companies seeking upstream gas and LNG opportunities alongside Sonatrach; mining, steel and fertiliser investors building on Gara Djebilet iron ore and Bled El Hadba phosphates; and manufacturers serving a market of around 47 million consumers through local production. Renewable energy developers can target the 15 GW programme, and logistics investors can benefit from new rail links and trans-Saharan corridors. Smaller investors in non-strategic sectors can now hold full ownership, but should plan carefully for foreign-exchange registration and repatriation.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the AAPI single window early
Open dialogue with the AAPI on project registration, applicable incentives and whether the activity falls within a strategic sector.

STEP 2: Structure capital to secure transfer guarantees
Register foreign-currency contributions with the Bank of Algeria under Law 22-18 and take specialist advice on repatriation and dividend tax.

STEP 3: Identify the right Algerian partner for strategic sectors
Where the 51/49 rule applies, assess public and private partners, including Sonatrach and Feraal Group, and agree governance terms at the outset.

STEP 4: Track licensing rounds and diversification projects
Follow ALNAFT bid rounds, mining-railway expansion and the renewable energy programme for new tender and supply-chain opportunities.

STEP 5: Confirm banking and compliance arrangements
Check correspondent-bank requirements following Algeria's FATF delisting and plan for energy-price sensitivity in public-sector contracts.